

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER –I I) END TERM EXAMINATION, JANUARY -2025****Corporate Finance****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Corporate Finance**

CO	Course Outcome (CO)
990	
CO1	Basic concepts and principles of corporate finance.
CO2	It helps to make informed business decisions and develop effective financial strategies.
CO3	To be equipped with analytical tools and framework to make decisions in complex and challenging financial environments regarding the cost and financial structure of the Company.

*(Note- Faculty can add the more CO's as per their subject.)***SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

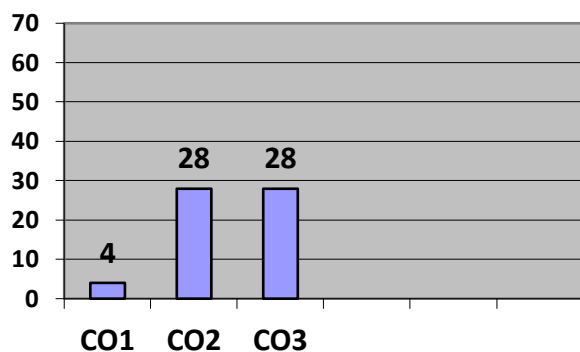
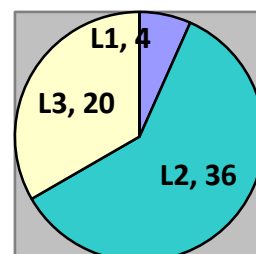
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL – 1
(B)	4	CO – 2	BL – 2
(C)	4	CO – 2	BL – 2
(D)	4	CO – 3	BL – 2
(E)	4	CO – 3	BL – 2

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL – 2
2 (B)	10	CO – 2	BL – 2
3 (A)	10	CO – 2	BL – 2
3 (B)	10	CO – 2	BL – 2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 3	BL – 3
4 (B)	10	CO – 3	BL – 3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER – II) END TERM EXAMINATION, JANUARY - 2025****Corporate Finance****[Time: 2 Hours]****[Maximum Marks: 60]****INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
(ii) Attempt questions from each section as per the directions.
(iii) Make suitable assumptions wherever necessary.

SECTION-A**(Short Answer Type Questions, do not exceed 200 words)****Q.1. Attempt all parts of the following:****(5×4=20)**

- a) Draw a typical organisation chart highlighting the finance function of a company.
b) An investor deposits sum of ₹ 1,00,000 in a bank account on which interest is credited @ 10% p.a. How much amount can be withdrawn annually for a period of 15 years?
c) How can you determine the cost of equity capital in a growth firm?
d) What are the important steps in capital budgeting?
e) Write a short note on annuity, perpetuity and effective rate of interest.

SECTION-B**(Long Answer Type Questions)****Q.2. Attempt any one of the questions from the followings****(1X10=10)**

- a) What is relevance and significance of cost of capital in capital budgeting? How does the cost of capital enter in the capital budgeting process?

OR

- b) The following is the capital structure of a firm:

Source of finance	Amount (₹)	C/C
11% Preference Share Capital	1,00,000	11%
Equity Share Capital	4,50,000	18%
Retained Earnings (Reserves)	1,50,000	18%
11.43% Debt	3,00,000	8%

Calculate the weighted average cost of capital of the firm, based on book value weights.

Q.3. Attempt any one of the questions from the followings**(1X10=10)**

- a) Distinguish between operating leverage and financial leverage. How the two leverage can be measured?

OR

- b) A company has total investment of ₹ 5, 00,000 assets and 50,000 outstanding equity shares of ₹ 10 each. It earns a rate of 15% on its investment, and has a policy of retaining 50 % of earnings. Is the appropriate discount rate for the firm is 10%, determine the price of its share using Gordon Model? What shall happen to price, if the company has payout of 80% or 20%.

SECTION-C**Q.4. Attempt all parts of the following:****(2×10=20)**

ABC Ltd. Is considering an expansion of the installed capacity of one of its plants at a cost of ₹ 35, 00,000. The firm has a minimum required rate of return of 12%. The following are the expected cash inflow over next 6 years after which the plant will be scrapped away for nil value.

Year	Cash Inflow
1	₹ 10,00, 000
2	₹ 10,00, 000
3	₹ 10,00, 000
4	₹ 10,00, 000
5	₹ 5,00, 000
6	₹ 5,00, 000

- a) Calculate the payback period.
b) Consider the proposal on the basis of NPV and IRR techniques.